REVENUE RECOGNITION IN PICTURES

Ravi’s Cycling Starter Pack

How do we share the price?

One payment for three promises.
How much belongs to each?



STEP 4



Srikanth Potharla

M.Com., M.Phil., FCMA., UGC-NET., Ph.D.

Ind AS 115 IFRS 15 ASC 606

Three promises in one pack



A bicycle
A beginner riding course
A 12-month maintenance service

3 obligations

Distinctness has already been established.

Ind AS 115 / IFRS 15, paragraphs 73–83

Ravi’s separate selling prices



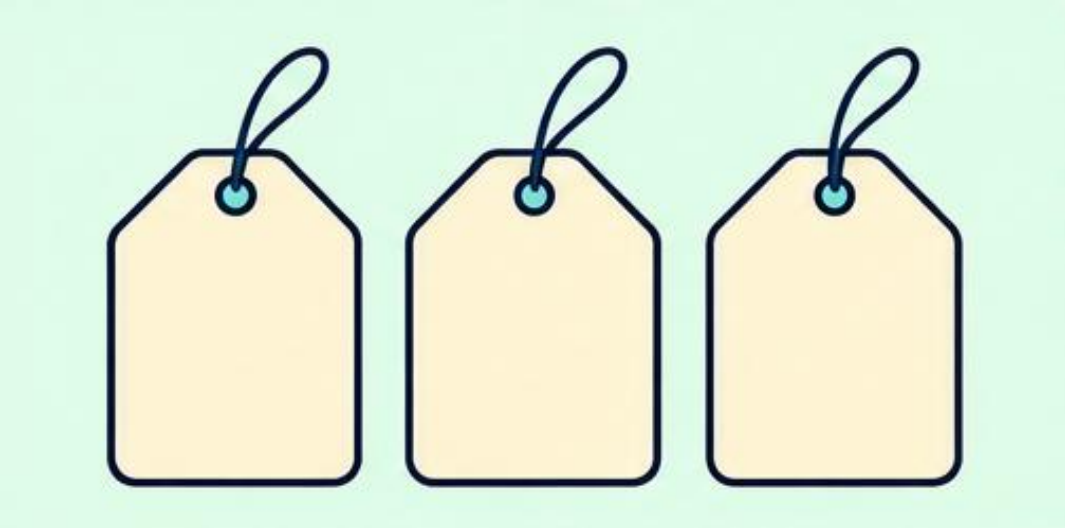
Bicycle: ₹12,000
Riding course: ₹3,000
Maintenance: ₹5,000

Observable SSPs

Ravi regularly sells each promise separately at these prices.

Ind AS 115 / IFRS 15, paragraphs 73–83

The total standalone price



₹12,000 + ₹3,000 + ₹5,000

₹20,000

The total supplies the denominator for the allocation.

Ind AS 115 / IFRS 15, paragraphs 73–83

Priya pays the bundle price



Total standalone prices: ₹20,000
Actual bundle price: ₹16,000

₹4,000 discount

The total amount to allocate is ₹16,000.

Ind AS 115 / IFRS 15, paragraphs 73–83

Who receives the discount?



There is no evidence that the discount belongs to just one promise.

Share proportionately

Use the relative standalone selling prices.

Ind AS 115 / IFRS 15, paragraphs 73–83

Twenty equal blocks

Each square represents ₹1,000 of standalone selling price.



12 bicycle blocks **3 course blocks** **5 service blocks**

60% / 15% / 25%

Apply these same proportions to the ₹16,000 bundle price.

Ind AS 115 / IFRS 15, paragraphs 73–83

The bicycle receives ₹9,600



₹16,000 × (₹12,000 ÷ ₹20,000)

₹9,600

60% of the transaction price belongs to the bicycle.

Ind AS 115 / IFRS 15, paragraphs 73–83

The course receives ₹2,400



₹16,000 × (₹3,000 ÷ ₹20,000)

₹2,400

15% belongs to the beginner riding course.

Ind AS 115 / IFRS 15, paragraphs 73–83

Maintenance receives ₹4,000



₹16,000 × (₹5,000 ÷ ₹20,000)

₹4,000

25% belongs to the maintenance service.

Ind AS 115 / IFRS 15, paragraphs 73–83

The allocations reconcile



Bicycle: ₹9,600
Riding course: ₹2,400
Maintenance: ₹4,000

Total ₹16,000

The allocated amounts equal the actual transaction price.

Ind AS 115 / IFRS 15, paragraphs 73–83

A “free” label does not settle allocation



A promotional label alone
does not determine the SSP allocation.

Maintenance: ₹4,000

Check the contract promises and the evidence about the discount.

Ind AS 115 / IFRS 15, paragraphs 73–83

Check yourself

Think first. Click to reveal each answer in Slide Show.

1 **What share belongs to the bicycle?**

60%, giving an allocation of ₹9,600.

2 **How much belongs to maintenance?**

₹4,000, or 25% of the bundle price.

3 **Does allocation decide when revenue is earned?**

No. Step 5 determines recognition timing.

Ind AS 115 / IFRS 15, paragraphs 73–83